Introduction to Financial Accounting

Beginner-friendly accounting reference for a RAG project.

What Is Accounting?

Accounting is the systematic process of identifying, recording, classifying, summarizing, and communicating financial information about a business or organization.

Purpose of Accounting

Accounting provides useful financial information for decision-making. It helps track money received and spent, measure performance, understand financial position, prepare reports, and support legal or tax requirements.

Accounting Equation

The basic accounting equation is Assets = Liabilities + Owner's Equity. The equation remains balanced after every properly recorded transaction.

Assets

Assets are resources controlled by a business that have economic value. Examples include cash, accounts receivable, inventory, equipment, vehicles, buildings, and land.

Liabilities

Liabilities are present obligations owed to other parties. Examples include accounts payable, loans payable, wages payable, interest payable, and taxes payable.

Owner's Equity

Owner's equity is the owner's residual interest in the business after liabilities are deducted from assets. Owner's Equity = Assets - Liabilities.

Revenue

Revenue is income earned from providing goods or services. Examples include sales revenue, service revenue, consulting revenue, and rental revenue.

Expenses

Expenses are costs incurred while generating revenue. Examples include rent, salaries, electricity, advertising, insurance, and depreciation.

Profit and Loss

Net income occurs when revenues are greater than expenses. Net Income = Revenues - Expenses. When expenses exceed revenues, the business has a net loss.

Debit and Credit

A debit is recorded on the left side of an account and a credit on the right side. Debits generally increase asset and expense accounts, while credits generally increase liability, equity, and revenue accounts.

Double-Entry Accounting

Double-entry accounting records each transaction in at least two accounts, with total debits equal to total credits. This helps maintain the accounting equation.

Example Transaction

If an owner invests ■50,000 cash into a business, Cash increases by ■50,000 and Owner's Equity increases by ■50,000. Assets ■50,000 = Liabilities ■0 + Equity ■50,000.

Financial Statements

Common financial statements include the income statement, balance sheet, statement of owner's equity or changes in equity, and statement of cash flows.

Income Statement

The income statement reports revenues and expenses for a specified period and shows net income or net loss.

Balance Sheet

The balance sheet reports assets, liabilities, and equity at a specific point in time and follows Assets = Liabilities + Equity.

Statement of Cash Flows

The statement of cash flows explains changes in cash during a period. Cash flows are commonly grouped into operating, investing, and financing activities.

Accounting Cycle

A simplified accounting cycle includes identifying transactions, analyzing transactions, recording journal entries, posting to ledger accounts, preparing a trial balance, making adjustments, preparing financial statements, and closing temporary accounts.

Journal Entry

A journal entry formally records a transaction and identifies the affected accounts and debit and credit amounts. For example, receiving ■5,000 cash for services means Cash is debited ■5,000 and Service Revenue is credited ■5,000.

Trial Balance

A trial balance lists ledger account balances to check whether total debit balances equal total credit balances. A balanced trial balance does not guarantee that every accounting error has been avoided.

Why Accounting Matters

Accounting supports planning, budgeting, performance measurement, resource management, financing decisions, and communication with internal and external users.